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Recommendation – Going Long on Dwarikesh Sugar one of the top performing companies of Sugar Industries in Indian Market

Background and History

Since the beginning of the year in India, we have constantly seen fuel prices hitting a record high almost every single month. In 2021 alone, fuel prices have surged more than 24 times. Petrol prices have crossed more than ₹100 per liter, while Diesel prices have been inching past ₹90/liter.

And this is having a disastrous impact on the Indian consumers in 3 specific ways:-

1. Several industries like the transportation industry which has already suffered a lot due to COVID are being drastically affected.
2. Inflation is creeping in at a disastrous rate i.e. 5.1%
3. Considering the political instability in the Middle East, India can be at the brink of another recession. And from here onwards if there is a sudden price hike from the Middle East it will put India into another economic crisis.

Now the question is: What is the Indian government doing about it?

The answer to this question lies in something that happened In 1973 when the world was witnessing something called the first oil crisis.

In September 1960, a group of oil-producing countries united together and formed an organization called the Organization of Petroleum Exporting Countries, or OPEC. This included countries like Iran, Iraq, Kuwait, Saudi Arabia, and Venezuela. And this organization was formed in order to avoid competition amongst each other and to regulate the prices for more profit.

In 1973, the Arab-Israeli war broke out, and the US ended up supporting the Israelis and gave them supplies. This made the Arabs angry and hence the Arabs decided to use their oil superpower and quadrupled the price of oil from just \$3 a barrel to \$12 a barrel!

And when this happened there was a devastating impact on economies all across the world. And just like the pandemic, the entire world witnessed a recession. Millions of jobs were lost, inflation skyrocketed and every single industry faced the brunt of the oil crisis. But while all of this was happening there was one country that actually found a wonderful solution to this crisis and even presented the world with a revolutionary concept.

This country that I'm talking about is none other than Brazil. The solution that they came up with was something called Ethanol Blending, wherein a certain amount of ethanol is mixed with petrol which decreases both the emissions and the consumption of petrol. And the best part about ethanol was that it could be obtained from various sources like sugarcane, wheat, corn, and even rotten potatoes. Therefore at the macro-level, it could significantly reduce the dependence on oil imports.

Now, in 1975, Brazil was facing 2 major problems. The first problem was the drastic effect of the oil crisis and secondly, In 1975 the sugar prices collapsed because 2 of their biggest clients, that is, Europe and America they found alternate sources. While Europe started doing business with Africa the United States had an alternative to sugar in the form of corn syrup.

So, in order to tackle both these problems together on 15 November 1975, Brazil launched something called the Brazilian Ethanol Program.

This program was dedicated exclusively to the production of sugarcane fuel ethanol.

And it had 3 very important objectives in mind.

1. To reduce the national dependence on oil imports.
2. To promote technological and industrial development associated with ethanol production.
3. To strengthen the sugarcane and sugar sectors.

This was a game-changer for the Brazilian economy. During this phase of the ethanol program, the sugarcane production increased by 50%, and ethanol production skyrocketed by 500% to 2.8 billion liters. At the same time, the Brazilian government also started pushing and subsidizing auto companies to develop engines that were capable of running on 100% ethanol.

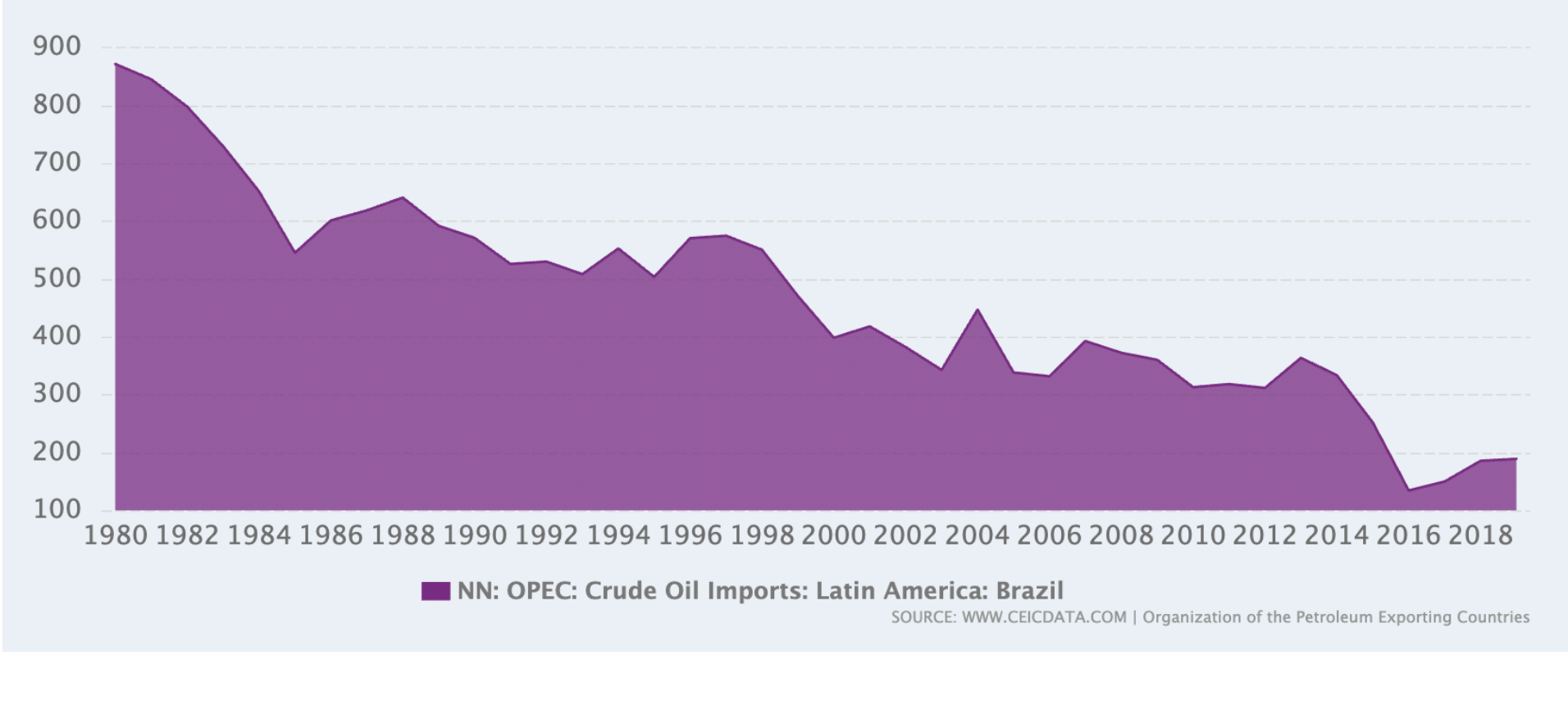
As a result, In 1976, these efforts culminated to give birth to the first pure ethanol vehicle called the Brazilian Fiat 147. Meanwhile, the foreign and domestic automakers, under the pressure from the government, started manufacturing ethanol-only vehicles. And within just 9 years, by 1985 96% of the vehicles sold in Brazil were ethanol-powered vehicles, and during this phase, ethanol production again shot up by 400% to 12.8 billion liters.

And all of this was being done with an underlying assumption that oil prices will never go down. And this is where the problem began. In 1986, the oil prices stumbled and within a year the ethanol vehicles became uneconomical as compared to petrol vehicles. And at the same time, the sugar prices also recovered resulting in ethanol shortages which further increased the price of ethanol.

And last and most importantly it further got messed up when the military dictatorship gave way to the civilian government and the transition eventually caused hyperinflation and other major economic difficulties.

Despite all this drama, it is estimated that Brazil still saved \$50 billion in oil imports from 1975-2002 due to ethanol blending. Therefore, in 2003 the ethanol program was again revived but this time with the introduction of something called the flex-fuel vehicles (FFVs). Flex-fuel vehicles, as the name goes, are those vehicles that are flexible with different fuel ratios that is, they could take in pure ethanol, they can take in pure gasoline, and the mix of both also. These vehicles had sensors that could actually determine the fuel mix and adjust the operation of the vehicle accordingly. So, the government collaborated with international companies like General Motors and Volkswagen to ensure the flex-fuel vehicles were competitively priced as compared to traditional gasoline vehicles.

Fast forward to 2018, over 73% of the new passenger vehicles sold in Brazil were flex-fuel vehicles which allowed the consumers to make the decision based on price factors as to which fuel they want to use at any given time. Therefore FFVs resolved a major issue that led to the collapse in consumer confidence in the late 1980s. Therefore, this time, Brazil actually managed to achieve something incredible. Since 2003, Brazil's carbon emissions have gone down by 515 million tonnes, which is equivalent to taking out 112 million cars off-road. And most importantly they have significantly reduced their dependence on oil imports.



This is the scenario of Brazil. Now let's talk about what all of this information has got to do with the Indian markets.

If you look at the scenario of India we are in a very similar state as that of Brazil in the 1970s. Firstly, just like Brazil in the 1970s, even India is heavily dependent on oil imports. Currently, India is importing 80% of its oil from foreign markets.

Number two, just like Brazil as of 2021, India has a humungous infrastructure for sugar and sugarcane. In fact, for the 5th straight year, India will be producing sugar in surplus. And as of 2020 alone, India had 6 million tonnes of sugar in surplus.

Therefore, there is a dire need either to utilize these resources or to decrease production.

And last and most importantly just like in the 1970s tensions have been rising in Middle East Iran and Israel are in a major conflict, the US is involved and as time passes by the situation is getting more and more intense which means that there is either a possibility of a price hike or even an oil crisis.

The Indian government is trying to de-risk the economy and take even giant leaps if necessary in order to protect the country from another economic crisis.

Now, considering all of these scenarios, let's have a look at the series of events that have happened in India and you'll automatically be able to map the similarities between Brazil and India.

On 27 of January 2021, Indian oil minister Mr. Dharmendra Pradhan said that India has preponed the target of achieving 20% ethanol blending with petrol by 5 years to 2025. And this is being done in order to cut dependence on costly oil imports.

On the 5th of June 2021, Indian Prime Minister Mr. Narendra Modi released a report of the Expert Committee on Roadmap for Ethanol Blending in India which has a timeline from 2020-2025. As of 2021, the country has an ethanol production capacity of only 684 crore liters which needs to be ramped up aggressively to 1000 crore liters in order to achieve a 20% blending target.

And last week, that is, August 2021, Indian Union Road Transport and Highway Minister Nitin Gadkari met with the delegation of CEOs of the society of Indian automobile manufacturers, and he emphasized the need for a quick roll-out of something called flex-fuel vehicles that are capable of running on 100% ethanol and gasoline. This is supposed to be done within just 1 year.

These are the reason why, if you see sugar companies all across the country have been rolling out heavy investment plans in order to cater to the new demand for ethanol. Therefore If you look at their share prices they have shot up immensely.

Dwarikesh Sugar is up by 285% in the last six months and all of this has happened since the oil minister's statement in January 2021.

Risk Factors

There are 6 important factors that will determine the outcomes of this ethanol project:

1. the ideal climatic conditions for sugarcane crop,
2. the labor cost
3. government subsidies
4. amendment and laws forcing the oil marketing companies to blend ethanol
5. the environmental laws and regulations concerning the same
6. the flexibility to divert sugarcane towards either sugar manufacturing or ethanol depending on the profitability which will be determined by the adoption of ethanol by the automakers.

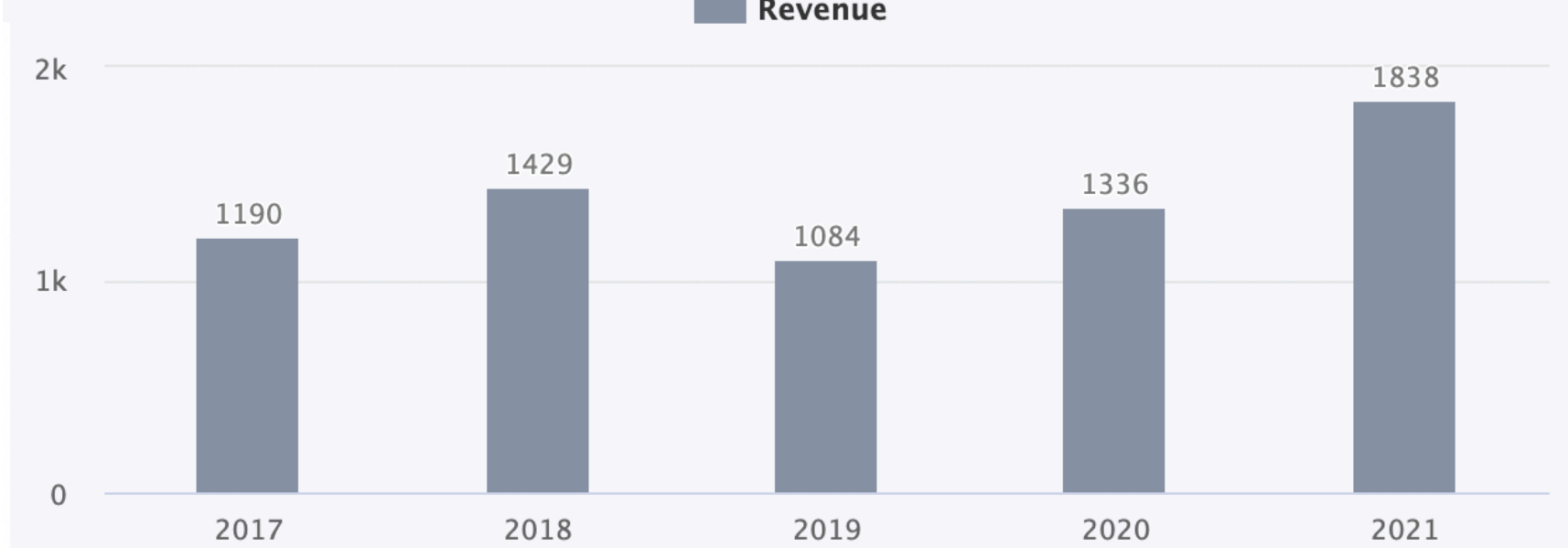
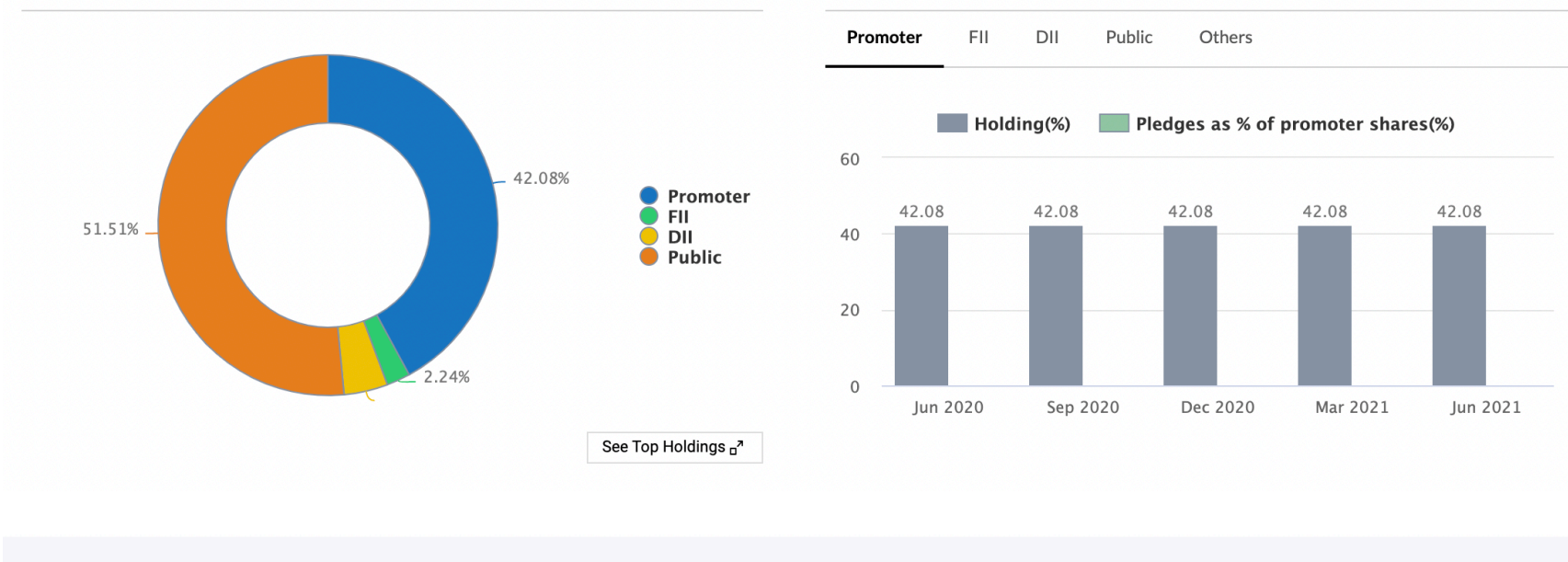
Apart from this, there is rising tensions in the middle east and most importantly we also have the evolution of the electric mobility sector.

Financial Analysis

Dwarikesh Sugar



SHAREHOLDING



Peers

Company Name	Price	% Chg	MCap(Cr)	TTM PE	P/B	ROE(%)	1 Yr Perform(%)	Net Profit(Rs.)	Net Sales(Rs.)	Debt to Equity
Dwarikesh Sugar	71.90	-	1,353.89	13.46	2.34	15.81	128.98	91	1,838	0.96
Balrampur Chini	367.90	-0.55	7,725.90	18.50	2.95	18.31	132.77	460	4,811	0.43
EID Parry	414.55	-1.00	7,341.78	13.33	1.08	9.76	43.64	997	18,587	0.13
Shree Renuka	26.05	4.83	5,544.72	-	-	0.00	141.20	-116	5,648	-6.54
Triveni Engg	172.20	-0.98	4,163.02	13.73	2.68	18.93	120.35	293	4,703	0.56

Source for Charts: www.moneycontrol.com www.finviz.com